Sample Bank — Personal Loan Credit Policy

Version 3.2 · Effective 1 April 2026 · FICTIONAL DOCUMENT FOR LEARNING ONLY. Not the policy of any real bank.

1. Purpose and scope

This policy sets out the rules Sample Bank follows when assessing unsecured personal loans for individual borrowers. It applies to all branches, the digital lending channel and direct selling agents. Credit underwriters must apply this policy consistently and record the reason for every decision in the loan origination system.

Any approval outside these rules is a deviation and must follow the deviation approval matrix in Section 9. This policy is reviewed every twelve months by the Credit Risk Committee.

2. Eligibility criteria

The applicant must be an Indian resident aged at least 21 years at the time of application and not older than 60 years when the loan matures. Non-resident Indians are not eligible for this product.

Salaried applicants must have at least 1 year in the current job and 2 years of total work experience. Employees of government bodies, public sector undertakings and listed companies may be considered with 6 months in the current job.

Self-employed applicants must show that the business has operated for at least 3 continuous years, supported by GST registration or a shop and establishment certificate.

Applicant type	Minimum net monthly income
Salaried — metro cities	₹25,000
Salaried — other cities	₹20,000
Self-employed (average of last 12 months)	₹40,000
Self-employed professionals (doctors, chartered accountants)	₹30,000

3. Credit bureau score

A CIBIL report not older than 30 days is mandatory for every applicant and co-applicant. The minimum CIBIL score for an unsecured personal loan is 700. Applications with a score between 650 and 699 may be considered only with Credit Manager approval and must carry an additional interest margin of 1.5% per annum. Applications with a score below 650 are declined.

Applicants with no credit history (CIBIL score shown as -1 or NA) may be considered only if they are salaried with a listed company and the loan amount does not exceed ₹3,00,000.

Any write-off, settlement or suit-filed account in the last 36 months results in automatic decline, regardless of score.

4. Repayment capacity (FOIR)

Fixed Obligation to Income Ratio (FOIR) is the total of all monthly EMIs, including the proposed EMI, divided by the net monthly income. Credit card outstanding is counted at 5% of the outstanding balance per month.

Net monthly income	Maximum FOIR (salaried)	Maximum FOIR (self-employed)
Up to ₹50,000	50%	45%
₹50,001 to ₹1,00,000	55%	50%
Above ₹1,00,000	60%	55%

Income from rent, interest or incentives may be included only if it is shown consistently in the last 12 months of bank statements, and is counted at 50% of the average amount.

5. Loan amount and tenure

The maximum loan amount is 20 times the net monthly income for salaried applicants and 2 times the average annual income declared in ITR for self-employed applicants, subject to an overall cap of ₹25,00,000.

The minimum loan amount is ₹50,000. The tenure must be between 12 and 60 months. For applicants aged above 55, the tenure must end before the applicant turns 60.

6. Interest rate and charges

Charge	Amount
Interest rate (CIBIL 750 and above)	10.50% to 13.00% per annum
Interest rate (CIBIL 700 to 749)	13.00% to 16.00% per annum
Processing fee	Up to 2% of the loan amount, maximum ₹10,000, plus GST
EMI bounce charge	₹500 per bounce, plus GST
Late payment interest	2% per month on the overdue EMI
Foreclosure within 12 months of disbursal	4% of outstanding principal
Foreclosure after 12 months	Nil
Part-prepayment	Allowed after 6 EMIs, up to 25% of the outstanding principal once a year, no charge

7. Documentation

Salaried applicants must submit salary slips for the last 3 months, bank statements for the last 6 months showing salary credits, and Form 16 for the last financial year. Self-employed applicants must submit income tax returns with computation of income for the last 2 years, audited financial statements where applicable, and 12 months of business bank statements.

KYC documents are mandatory for all applicants: PAN card, and one proof of address such as Aadhaar, passport, voter ID or driving licence. Video KYC is accepted for the digital channel.

8. Co-applicants

The income of a co-applicant may be added to assess repayment capacity only if the co-applicant is an immediate family member (spouse, parent or adult child), has a CIBIL score of 700 or above, and signs the loan agreement as a joint borrower. A maximum of one co-applicant is allowed for a personal loan.

9. Deviations and approval authority

A deviation is any approval outside the limits of this policy. Each deviation must be recorded with a written justification and approved at the level shown below. A single application may carry at most two deviations.

Deviation	Approving authority
FOIR up to 5 percentage points above the limit	Credit Manager
CIBIL score 650 to 699	Credit Manager
Loan amount above the income multiple, up to 10%	Regional Credit Head
Job stability below the minimum	Regional Credit Head
Any other deviation, or more than two deviations	Chief Credit Officer

10. Bank statement red flags

Underwriters must review the last 6 months of bank statements. More than 2 EMI or cheque bounces in the last 6 months, frequent cash deposits just before EMI dates, or a sudden large credit with no explanation must be treated as red flags and the application must be sent for manual review.

11. Top-up loans

An existing borrower may apply for a top-up loan after paying at least 12 EMIs on time with no bounce in the last 6 months. The combined outstanding of the existing loan and the top-up must stay within the limits in Section 5, and the FOIR must be recalculated including the top-up EMI.

12. Fraud prevention

Any mismatch between PAN, Aadhaar and bank account names, edited salary slips, or employer details that cannot be verified must be reported to the Fraud Control Unit within 24 hours. The application must be put on hold until the Fraud Control Unit clears it.